

THE SESSION · POST-CLOSE READ

Print In Line, Compute Leads

July CPI landed exactly on consensus and September hike odds eased, but the day's leadership came from the AI buildout rather than the macro. Growth Portfolio +0.75% outpaced IUSG; Dividend Strategy added 0.11%, a step behind its benchmarks.

S&P 500 ▲ 0.27%

NASDAQ ▲ 0.55%

DOW ▼ 0.04%

VIX 14.44

BRENT ▲ \$89

DIVIDEND STRATEGY

▼ TRAILED DVY + SPY

+0.11%

1-DAY

FCI		+0.11%
DVY		+0.30%
SPY		+0.26%

YTD +23.30% vs DVY +17.34% · SPY +13.89%

GROWTH PORTFOLIO

▲ BEAT IUSG

+0.75%

1-DAY

FCI		+0.75%
IUSG		+0.44%

YTD +21.37% vs IUSG +15.47%

THE SESSION

July CPI arrived precisely where the consensus had placed it, and the market spent the balance of the session looking somewhere else entirely. Headline prices rose 0.1% on the month and 3.4% from a year ago, down a tenth from June; core held at 0.2% monthly and 2.5% annually. Every figure matched the Dow Jones survey. Traders who had been split close to evenly on a September hike moved toward a hold, long Treasury yields eased back from their summer highs, and gold reached a multi-week high near \$4,440 — up roughly 10% for the month to date. The S&P 500 closed at 7,748.71, +0.27%; the Nasdaq added 0.55%; the Dow finished a hair lower at -0.04%. The Russell 2000 gained 0.61% and the VIX settled at 14.44, -5.50%. A quiet macro print, in other words, and a tape that took its direction from earnings.

Those earnings were about compute. CoreWeave reported second-quarter revenue of \$2.58 billion, up 112% year over year, with a revenue backlog near \$104 billion and full-year guidance raised to \$12.4–13.2 billion; management noted a further \$25 billion of contracts signed in the five weeks after the quarter closed. Nebius beat as well, Super Micro guided above expectations on a large order book, and Foxconn posted better-than-expected profit. The read-through moved straight into our growth sleeve: CRDO +8.26%, KEYS +3.14%, NVDA +3.03%, MRVL +2.25%, TSM +1.68%, and AMD +1.82%. Growth Portfolio closed +0.75% against IUSG's +0.44%. Dividend Strategy captured part of the same current through LRCX +4.72%, and got help from CAT +1.45%, LMT +1.52%, and ABT +1.09% — but staples and a 2.00% give-back in TEL held the sleeve to +0.11%, behind DVY at +0.30% and SPY at +0.26%.

A print that surprises no one hands the tape back to the businesses. That is where we prefer the argument to be settled.

Energy stayed close to unchanged despite the noise around it: Brent settled at \$88.98, up seven cents, with a 17.4 million-barrel build in US crude inventories and Hormuz negotiations still unresolved. Our energy names split — OKE +1.04%, CVX flat at -0.05%, CNX -1.08%. TOL fell 2.90% and NOW 2.04%, the latter still wearing the market's

discount on application software while capital concentrates upstream. Digital assets were quiet, IBIT and ETHA each -0.14%. PPI lands Thursday and retail sales Friday; Nvidia's August 26 quarter is the next real test of the thesis that carried today.

FCI HOLDINGS • NOTABLE MOVERS

WINNERS

CRDO +8.26%

GROWTH PORTFOLIO

AI-interconnect demand re-rated on the CoreWeave backlog print; fiscal Q1 results still ahead.

LRCX +4.72%

DIVIDEND STRATEGY

Wafer-fab equipment bid alongside memory strength as AI capacity commitments extended.

DECLINERS

TOL -2.90%

GROWTH PORTFOLIO

Housing gave back ground; the in-line print did not move near-term policy expectations.

NOW -2.04%

GROWTH PORTFOLIO

Application software lagged as capital concentrated in AI infrastructure.

KEYS +3.14%

GROWTH PORTFOLIO

Test-and-measurement pulled along by the same datacenter buildout read.

LMT +1.52%

DIVIDEND STRATEGY

Defense bid firmed as Gulf shipping enforcement stayed unresolved.

TEL -2.00%

DIVIDEND STRATEGY

Gave back Tuesday's interconnect gain on no company-specific news.

CHD -1.49%

DIVIDEND STRATEGY

Staples funded the rotation into cyclical and compute.

HOLDINGS NEWS

Credo Technology — the move and the multiple. CRDO's 8.26% advance to \$268.16 came on sector read-through, not company news; its fiscal first quarter ended August 1 and has not yet been reported. The bull-bear gap is wide, and customer concentration remains the live risk — roughly 90% of fiscal 2026 revenue came from the top ten accounts. We own the interconnect franchise, not the multiple.

SoFi — Truist lifts target, keeps Hold. Truist Securities raised its target on SOFI to \$19 while keeping a Hold rating; shares closed at \$17.94, -0.22%. Estimates moving up, conviction unchanged. Nothing there alters the thesis we own — deposit growth funding a widening product set.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY

+23.30%

vs DVY +17.34% / SPY +13.89%

GROWTH PORTFOLIO

+21.37%

vs IUSG +15.47%